



Maintain a secure financial accounting system

D2.TFA.CL7.03

Assessor Manual



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Project Base

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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes

- Case studies
- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
- You are required to complete these activities:
 - Using the 'X' method of assessment*
 - At 'X' location*
 - You will have 'X time period' for this assessment*
 - You are required to compile information in a format that you feel is appropriate to the assessment
 - Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering ‘Remarks’ as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: MAINTAIN A SECURE FINANCIAL ACCOUNTING SYSTEM		NOMINAL HOURS: 80
UNIT NUMBER: D2.TFA.CL7.03		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to maintain the security of the accounting systems, including the general ledger.		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Reconcile general ledger accounts 1.1 <i>Reconcile general ledger to subsidiary ledgers</i> 1.2 <i>Resolve outstanding items on reconciliation</i> 1.3 <i>Reconcile bank accounts and clear suspense accounts</i> 1.4 <i>Obtain authorisation and/or approval for completed reconciliation</i> Element 2: Reconcile general ledger to related systems 2.1 <i>Process related systems entries</i> 2.2 <i>Reconcile interfaces from related systems</i> 2.3 <i>Verify related systems to maintain integrity of the accounting systems</i>		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to all industry sectors that have a need to utilise a financial accounting system within the labour divisions of the hotel and travel industries and may include: 1. Front Office 2. Travel Agencies 3. Tour Operation <i>Reconcile general ledger to subsidiary ledgers may include:</i> • Conducting regular reconciliations • Ensuring accuracy • Adhering to <i>organisational policies and procedures</i> which may include: ▪ Operations manuals ▪ Internal control guidelines ▪ Computer system documentation.

Element 3: Back-up systems 3.1 Follow system <i>back-up schedules</i> precisely 3.2 <i>Verify back-ups</i> Element 4: Monitor and review integrity of financial systems 4.1 Establish <i>processes to regularly monitor financial systems</i> 4.2 Identify variations from organisational policies and procedures 4.3 Assess <i>variations</i> from organisational policies and procedures 4.4 <i>Encourage user feedback</i> Element 5: Update systems for management requirements and regulations 5.1 Calculate <i>estimates of costs</i> associated with changes 5.2 <i>Plan changes and updates</i> to systems 5.3 <i>Test systems' updates</i> 5.4 Ensure changes and updates are comprehensive and maintain the integrity of accounting system 5.5 <i>Apply changes</i> 5.6 <i>Circulate changed and/or updated relevant documentation</i>	<i>Resolve outstanding items</i> will include: • Undertaking investigations • Seeking input from others in relation to information required to determine the issue • Making appropriate corrections to relevant accounts • Ensuring the integrity of the system. <i>Reconcile bank accounts and clear suspense accounts</i> may be related to: • Ensuring reliability of the general ledger. <i>Obtain authorisation and/or approval</i> may include: • Acquiring sign-off by appropriate personnel such as: ▪ Accounting personnel ▪ Business unit or departmental managers • Adhering to organisational policies and procedures. <i>Related systems</i> may include: • Suspense accounts • Cost centre accounts • Investments register • Prompt processing of data • Accuracy in entry. <i>Reconcile interfaces</i> must include: • Adhering to organisational policies and procedures • Ensuring accuracy.
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	<i>Verify related systems</i> must include: • Ensuring validity • Ensuring accuracy. <i>Back-up schedules</i> may include: • Backing-up electronically on a daily, weekly or monthly basis • Usually prescribed in organisational procedures/system operational procedures. <i>Verify back-ups</i> may include: • Storing back-ups in secure and designated locations • Ensuring accessibility of backed-up information • Protecting integrity of system information • Complying with internal audit requirements • Complying with internal security requirements. <i>Processes to regularly monitor financial systems</i> may include: • Ensuring reliability of the systems • Ensuring integrity of the systems • Ensuring compliance with organisational policies and procedures • Ensuring compliance of the systems with relevant <i>management requirements and host country regulations</i> which may include: ▪ Authority levels ▪ Classification systems ▪ Cost centre definitions ▪ New expenditure accounts
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	▪ Reinsurance returns ▪ Audit trails. <i>Assess variations</i> may include: • Determining impact on the financial systems • Identifying action to be taken to address variations. <i>Encourage user feedback</i> may include: • Reviewing feedback received • Determining impact on the financial systems • Identifying action to be taken • Soliciting input from appropriate personnel • Recording feedback received for future use and/or reference. <i>Estimates of costs</i> may include: • Undertaking cost-benefit analysis • Calculating opportunity costs • Determining infrastructure costs • Determining training costs for staff • Assessing cost-effectiveness. <i>Plan changes and updates</i> may include: • Preparing written implementation plans • Allocating responsibilities • Identifying relevant timelines • Advising relevant staff as appropriate • Undertaking training to support implementation.
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	<i>Test systems' updates</i> may include: • Ensuring they reflect changed requirements • Identifying unanticipated flow-on effects from the changes and updates. <i>Apply changes</i> may include: • Ensuring consistency of application across all systems • Ensuring report information remains valid • Monitoring implementation. <i>Circulate changed and/or updated relevant documentation</i> may include: • Ensuring all <i>relevant parties</i> are informed of variations, which may include: ▪ Management ▪ Other accounting personnel and organisational staff. Assessment Guide The following skills and knowledge must be assessed as part of this unit: • Enterprise policies and procedures in regard to the functioning of the financial accounting systems that operate within the business • Ability to use accounting techniques • Ability to check reconciliation items with related system entries • Detailed knowledge of relevant host country legislation relating to accounting practices and procedures • Comprehensive knowledge of accounting procedures and practices • Sound communication skills in liaising with departmental managers and creditors/suppliers
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- Thorough understanding of bank account reconciliation process
- Ability to back-up and update financial systems
- Ability to use relevant data entry and office equipment.

Linkages To Other Units

- Access and retrieve computer-based data
- Perform clerical procedures
- Plan and establish systems and procedures
- Prepare business documents
- Use common business tools and technology
- Develop and implement operational policies
- Audit financial procedures
- Maintain financial standards and records
- Manage financial performance within a budget
- Manage payroll records
- Monitor catering revenue and costs
- Interpret financial statements and reports
- Manage and control operational costs
- Prepare financial statements
- Prepare and monitor budgets.

Critical Aspects of Assessment

Evidence of the following is essential:

- Understanding of host enterprise policies and procedures in regard to the functioning of the financial accounting systems that operate within the business
- Demonstrated ability to reconcile a nominated set of general ledger accounts
- Demonstrated ability to reconcile a nominated general ledger to given related systems
- Demonstrated ability to effectively and securely back-up a nominated accounting system
- Demonstrated ability to review a nominated accounting system and make recommendations for changes and updates to maintain the integrity and security of the system.

Context of Assessment

This unit may be assessed on or off the job:

- Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area or area of responsibility.

Resource Implications

Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment.

Assessment Methods

The following methods may be used to assess competency for this unit:

- Case studies
- Observation of practical candidate performance
- Oral and written questions

- Analysis of portfolio of documents produced, or worked on, by the candidate
- Problem solving
- Third party reports completed by a supervisor
- Project and assignment work.

Key Competencies in this Unit

Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

Level 3 = competence to use concepts for evaluating

Key Competencies	Level	Examples
Collecting, organising and analysing information	3	Capture information to enable operation and analysis of the systems
Communicating ideas and information	2	Explain variations to relevant personnel
Planning and organising activities	3	Schedule reviews and implementation tests
Working with others and in teams	2	Liaise with relevant parties
Using mathematical ideas and techniques	3	Calculate accounting statistics and data
Solving problems	3	Resolve variations in system figures
Using technology	2	Use accounting software packages

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Maintain a secure financial accounting system D2.TFA.CL7.03
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. What does the term 'reconciliation' mean?	☐	☐
2. Why is it important to resolve reconciliation discrepancies?	☐	☐

Questions	Response	
	PC	NYC
3. What is the purpose of undertaking a bank reconciliation?	☐	☐
4. Why is it important to get approval or authorisation before undertaking a reconciliation?	☐	☐
5. Why is it important to allocate costs to the correct cost centre?	☐	☐

Questions	Response	
	PC	NYC
6. What are the advantages of using accounting software?	☐	☐
7. Why should you verify the relevance and integrity of the accounting system being used by a tourism organisation?	☐	☐
8. Why is it important to backup financial information?	☐	☐

Questions	Response	
	PC	NYC
9. What are methods that can be used to backup financial information?	☐	☐
10. What categories of business performance should be monitored?	☐	☐
11. What is the importance of monitoring adherence to policies and procedures?	☐	☐

Questions	Response	
	PC	NYC
12. How can you deal with variations to accounting policies and procedures?	☐	☐
13. What is the importance of involving users and stakeholders when deciding on new financial systems?	☐	☐
14. What are reasons to change or update financial systems?	☐	☐

Questions	Response	
	PC	NYC
15. What information needs to be communicated with stakeholders when implementing a new financial system?	☐	☐
16. How can you test a new or updated financial system?	☐	☐
17. What methods can be used to review a financial system test?	☐	☐

Questions	Response	
	PC	NYC
18. When would 'taking no action' be the best solution to handling problems that have occurred during the implementation of a new financial system?	☐	☐
19. Why is it important to communicate variations and updated information to all relevant stakeholders?	☐	☐

Written questions

Maintain a secure financial accounting system – D2.TFA.CL7.03

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. What is the purpose of conducting a reconciliation of general and subsidiary ledgers?

2. What are the steps associated when reconciling general and subsidiary ledgers?

3. What are activities associated with resolving outstanding accounts?

4. What are possible actions to resolve discrepancies?

5. What is a source document? What are two examples of a source document?

6. What are steps undertaken when performing a bank reconciliation?

7. What are common reasons for a difference between amounts on a bank statement as opposed to a cash ledger?

8. Who can provide authorisation or approval to conduct reconciliations?

9. What is a suspense account?

10. What is a cost centre? What are two examples of cost centres for a tourism organisation?

11. What is an example of an accounting software packages?

12. What are the steps associated with verifying an accounting system being used by a tourism organisation?

13. What does the term 'substantiation' mean?

14. What are examples of accounting data management policies and procedures?

15. What are considerations when selecting accounting storage and back-up systems?

16. What are methods that can be used to store accounting data?

17. What are methods that can be used to back up financial data?

18. What is the purpose of a financial system?

19. What methods can be used to monitor financial performance?

20. What is an 'accounting policy'? What are two examples of accounting policies?

21. What is an 'accounting procedure'? What are two examples of accounting procedures?

22. What are three examples of accounting activities requiring policies and procedures?

23. What are strategies that can be used to ensure accounting policies and procedures are being followed?

24. What are types of users and stakeholders that can be involved in deciding on a new financial system?

25. What are three costs associated with the purchase of a new financial system?

26. What are considerations when implementing a new financial system?

27. What is the purpose of testing new or updated financial systems?

28. Why is it important to review a financial system implementation test?

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30. How can you communicate variations and updated information to stakeholders?

Answers to written questions

Maintain a secure financial accounting system – D2.TFA.CL7.03

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

- 1. What is the purpose of conducting a reconciliation of general and subsidiary ledgers?**
 - Identify ledger accounts that containing errors
 - Identify, investigate and explain the errors
 - Make appropriate make adjusting journal entries.
- 2. What are the steps associated when reconciling general and subsidiary ledgers?**
 - Compare general ledger balance to the subsidiary balances
 - Identify differences
 - Investigate reasons for the difference
 - Adjust general ledger or subsidiary ledgers
 - Compare adjusted balances.
- 3. What are activities associated with resolving outstanding accounts?**
 - Understand common causes of discrepancies
 - Seeking input from others in relation to information required to determine the issue
 - Investigating source documents
 - Undertaking investigations
 - Making appropriate corrections to relevant accounts
 - Ensuring the integrity of the system.
- 4. What are possible actions to resolve discrepancies?**
 - Re-visit various source documents and verify their content, figures and calculations
 - Double-check calculations
 - Seek out additional information, data and documents
 - Check figures with suppliers, clients and revenue centres
 - Undertake a physical stock take
 - Check and re-price stock-on-hand
 - Verify and upgrade internal reporting and recording procedures, practices and documentation for incomes and expenditures
 - Develop ancillary systems and reports to support emerging operational and financial requirements.

5. What is a source document? What are two examples of a source document?

A source document is evidence of a transaction.

Examples of common source documents in tourism establishments are:

- Invoices
- Receipt books
- Cash register audit tapes
- Internal vouchers and promotional vouchers which may offer special deals and discounts
- Daily takings sheets
- Credit card imprints and vouchers
- Time / wages sheets
- Purchase orders
- Receipts
- Cheques
- Deposit books
- Cheque requisitions
- Credit notes
- Expense vouchers
- Petty cash vouchers
- Bank statements.

6. What are steps undertaken when performing a bank reconciliation?

- Gather relevant information
- Enter the balance shown on the bank statement and the balance from the ledger account into the bank reconciliation statement
- Check that previous outstanding items have been recorded on the bank statement
- Add to or subtract from the bank balance the items that are in the ledger account but not on the bank statement.
- Adjust the ledger account for any items that are on the bank statement by recording the details in the general journal.
- Compare the adjusted bank balance and the adjusted ledger account balance and they should now agree
- Complete the bank reconciliation statement and file according to workplace procedures.

7. What are common reasons for a difference between amounts on a bank statement as opposed to a cash ledger?

- Timing differences
- Errors
- Fees / bank charges
- Interest
- Dishonoured payment.

8. Who can provide authorisation or approval to conduct reconciliations?

- Accounting personnel
- Business unit or departmental managers.

9. What is a suspense account?

A suspense account is an account in the general ledger that temporarily stores any transactions that cannot be clearly allocated to an account.

10. What is a cost centre? What are two examples of cost centres for a tourism organisation?

A cost centre is a part of an organisation that does not produce direct profit and adds to the cost of running a company.

Types of cost centres for a tourism organisation:

- Human Resources
- Maintenance
- IT department
- Travel sales
- Marketing
- Help desks
- Customer services
- Corporate vs FIT clients
- Contact centres
- Tours.

11. What is an example of an accounting software packages?

- FreshBooks
- QuickBooks Online
- Sage One
- ZohoBooks
- Xero
- AccountEdge
- Wave Accounting
- Less Accounting

- WorkingPoint
- Free Agent
- Yendo.

12. What are the steps associated with verifying an accounting system being used by a tourism organisation?

- Reconciliation
- Review
- Comparison
- Analysis
- Substantiation

13. What does the term 'substantiation' mean?

The process of corroborating or confirming financial information contained in reports or systems to ensure that the information is accurate and complete.

14. What are examples of accounting data management policies and procedures?

- Administration requirements
- Authorised access
- Passwords
- Internal accounting systems
- Authorised use of equipment
- Security
- Confidentiality
- Timing and frequency requirements.

15. What are considerations when selecting accounting storage and back-up systems?

- Amount of accounting data to backed up
- Cost
- Accessibility
- Ease of performing regular backups.

16. What are methods that can be used to store accounting data?

- Storage in accounting software
- Filing of source and paper-based financial information
- Storage in directories and sub-directories
- Storage on hard drives
- Storage on networked computers
- Appropriate filing and storage of hard copies of computer-generated documents.

17. What are methods that can be used to back up financial data?

- Off-site storage of hard-copy documents
- Online storage services
- Consolidate data on different PC's to one centralised point
- External hard drives
- Using backup software.

18. What is the purpose of a financial system?

The accounting or financial system involves the collection of source documents, records, procedures, management policies and data processing methods used to transform data from activities and events into financial information that can be relied upon for management decision-making.

19. What methods can be used to monitor financial performance?

- Financial analysis methods:
 - Horizontal
 - Vertical
 - Ratios
- Key performance indicators
- Customer feedback
- Compliance reports
- Employee feedback
- Using a pretend customer
- Walking about the premises and observing what takes place
- Use of checklists
- Brainstorming sessions
- Observation
- Surveys
- Checklists
- Flowcharts
- Benchmarking.

20. What is an 'accounting policy'? What are two examples of accounting policies?

- Accounting policies are rules in which accounting activities will be guided by.
- Accounting policies are normally based around laws, general accounting principles, compliance issues and taxation.

21. What is an 'accounting procedure'? What are two examples of accounting procedures?

- Procedures are a predetermined set of tasks.
- Types of procedures will vary.

22. What are three examples of accounting activities requiring policies and procedures?

- Revenue recognition
- Matching of revenues and expenses
- Fixed assets and depreciation
- Collection and use of data
- Preparing of financial reports
- Cash disbursements
- Capital acquisitions
- Supplies, services, and other invoices
- Invoice payment
- Payroll
- Cash receipts
- Ledger reconciliations
- Bank reconciliations
- End of month accounting
- End of year accounting
- Cost allocations
- Investments
- Debt
- Internal controls
- Financial audits
- Compliance
- Budgeting
- Data security
- Computer access and back up
- Use of accounting forms and templates
- Access to records and records retention
- Taxation forms and compliance
- Personnel records
- Maintenance of accounting policies and procedures manual
- Preparation of information
- Asset inventory.

23. What are strategies that can be used to ensure accounting policies and procedures are being followed?

- Observing current practice
- Discussions with staff and other stakeholders
- Involve accounting staff in the initial development of the policies and procedures
- Explain and disseminate the policies and procedures once they have been developed and approved
- Any procedures should be accompanied by appropriate demonstration
- Associated paperwork should be shown and its completion explained
- Make a full copy of all accounting policies and procedures
- Regularly used policies or procedures should be included in a dedicated distribution to all accounting staff when employed
- Include 'policies and procedures' as part of your standard in-house accounting training
- Provide every new accounting staff member with a copy of the policies and procedures in induction.

24. What are types of users and stakeholders that can be involved in deciding on a new financial system?

- Users
- Management and supervisors
- Head Office
- Owners
- Finance committees
- Financial accountants
- Government agencies – who have relevancy to and involvement in your industry sector
- Peak Industry bodies and associations
- Similar establishments within your sector with whom you have developed a professional 'working relationship'
- Investors and shareholders
- External consultants with specific expertise.

25. What are three costs associated with the purchase of a new financial system?

- Purchase price
- Opportunity cost
- Cost of finance
- Testing or compliance costs
- Transportation costs
- Site preparation costs
- Installation costs
- Make-ready costs
- Tooling, parts and suppliers
- Spare parts costs
- Training costs
- Cost of power and consumables
- Service and maintenance costs
- Insurance costs for the new item
- Cost of adapting existing systems and procedures to accommodate the new purchase
- Lost sales caused by interruption to normal business
- Reduced levels of earnings while staff learn the new item
- Depreciation.

26. What are considerations when implementing a new financial system?

- Identify all implementation actions to be taken
- Allocation of responsibilities for action to nominated persons
- Determination of accountability for actions taken
- Timelines for completion of nominated actions
- Compliance requirements
- Arranging arrival and security of financial system
- Timing of new system assets to be implemented
- Saving information from old system assets
- Removal, storage and sale of old system assets
- Arranging location and physical layout of new assets
- Unpacking and installing new financial system
- Timing issues
- Resources
- Aligning new financial system to existing structures, hardware and software systems

- Integration with other aspects of the business
- Adding information to new financial system
- Changes to policies and procedures
- Documentation & record keeping
- Impact on organisational culture
- Anticipation of problems
- Training for staff to become knowledgeable and productive with new financial system.

27. What is the purpose of testing new or updated financial systems?

Ensuring:

- Hardware is installed, in correct quantity and working correctly
- Software is successfully installed
- New or upgraded system elements are integrated with existing system
- Financial information has been transferred correctly between systems
- No financial data has been lost
- System functions are operating as intended
- System changes reflect changed requirements
- Unanticipated flow-on effects from the changes and updates have been identified and addressed
- Staff are familiar with functions
- Staff can identify and resolve problems
- Any staff issues or concerns are addressed
- Staff can input financial information to produce desired outputs
- Outputs, such as reports, are produced in its desired format in a timely manner
- Future actions, including further changes, are identified.

28. Why is it important to review a financial system implementation test?

- Understand general success
- Identify outcomes of the test
- Gather feedback from stakeholders
- Identify areas which worked well
- Identify areas which failed
- Identify reasons and details of unintended or unanticipated consequences or outcomes
- Identify areas for improvement.

29. What are examples of changes that can be made to a financial system to increase its performance?

- Make changes
- Retest system
- Reinstall software
- Ask vendor to make changes to software or provide support services
- Introduce new equipment
- Make changes to physical layout of equipment
- Corrective IT changes
- New policies
- Changes to workflow
- Changes to procedures
- Change of personnel structure
- Changes in job roles
- Establish comprehensive job descriptions and job specifications
- Further training for staff.

30. How can you communicate variations and updated information to stakeholders?

- Hold a formal staff meeting to inform stakeholders of the changes
 - Explain the results of the financial system test
 - Explain why changes have been made
 - Explain the changes to be introduced
 - Give them a hard copy of documents to help explain and follow changes
 - Explain the changes
 - Encourage questions about the changes
 - Make yourself available outside this meeting to talk to if they have concerns regarding the changes.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Maintain a secure financial accounting system D2.TFA.CL7.03
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Reconcile general ledger accounts - Insert element - Insert element - Insert element - Insert element - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Reconcile general ledger accounts		
Reconcile general ledger to subsidiary ledgers	☐	☐
Resolve outstanding items on reconciliation	☐	☐
Reconcile bank accounts and clear suspense accounts	☐	☐
Obtain authorisation and/or approval for completed reconciliation	☐	☐

Did the candidate	Yes	No
Element 2: Reconcile general ledger to related systems		
Process related systems entries	☐	☐
Reconcile interfaces from related systems	☐	☐
Verify related systems to maintain integrity of the accounting systems	☐	☐
Element 3: Back-up systems		
Follow system back-up schedules precisely	☐	☐
Verify back-ups	☐	☐
Element 4: Monitor and review integrity of financial systems		
Establish processes to regularly monitor financial systems	☐	☐
Identify variations from organisational policies and procedures	☐	☐
Assess variations from organisational policies and procedures	☐	☐
Encourage user feedback	☐	☐
Element 5: Update systems for management requirements and regulations		
Calculate estimates of costs associated with changes	☐	☐
Plan changes and updates to systems	☐	☐
Test systems' updates	☐	☐
Ensure changes and updates are comprehensive and maintain the integrity of accounting system	☐	☐
Apply changes	☐	☐
Circulate changed and/or updated relevant documentation	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor**Strengths:****Improvements needed:****General comments:****Candidate signature****Date****Assessor signature****Date**

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other <i>Please specify: _____</i> <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Maintain a secure financial accounting system D2.TFA.CL7.03		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Element 1: Reconcile general ledger accounts			
Reconcile general ledger to subsidiary ledgers	☐	☐	☐
Resolve outstanding items on reconciliation	☐	☐	☐
Reconcile bank accounts and clear suspense accounts	☐	☐	☐
Obtain authorisation and/or approval for completed reconciliation	☐	☐	☐
Element 2: Reconcile general ledger to related systems			
Process related systems entries	☐	☐	☐
Reconcile interfaces from related systems	☐	☐	☐
Verify related systems to maintain integrity of the accounting systems	☐	☐	☐

Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response)</i>	Yes	No	Not sure
Element 3: Back-up systems			
Follow system back-up schedules precisely	☐	☐	☐
Verify back-ups	☐	☐	☐
Element 4: Monitor and review integrity of financial systems			
Establish processes to regularly monitor financial systems	☐	☐	☐
Identify variations from organisational policies and procedures	☐	☐	☐
Assess variations from organisational policies and procedures	☐	☐	☐
Encourage user feedback	☐	☐	☐
Element 5: Update systems for management requirements and regulations			
Calculate estimates of costs associated with changes	☐	☐	☐
Plan changes and updates to systems	☐	☐	☐
Test systems' updates	☐	☐	☐
Ensure changes and updates are comprehensive and maintain the integrity of accounting system	☐	☐	☐
Apply changes	☐	☐	☐
Circulate changed and/or updated relevant documentation	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:**Third party signature:****Date:****Send to:**

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Maintain a secure financial accounting system	D2.TFA.CL7.03
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1:						
Reconcile general ledger to subsidiary ledgers						
Resolve outstanding items on reconciliation						
Reconcile bank accounts and clear suspense accounts						
Obtain authorisation and/or approval for completed reconciliation						
Element 2:						
Process related systems entries						
Reconcile interfaces from related systems						
Verify related systems to maintain integrity of the accounting systems						
Element 3:						
Follow system back-up schedules precisely						
Verify back-ups						
Element 4:						
Establish processes to regularly monitor financial systems						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Identify variations from organisational policies and procedures						
Assess variations from organisational policies and procedures						
Encourage user feedback						
Element 5:						
Calculate estimates of costs associated with changes						
Plan changes and updates to systems						
Test systems' updates						
Ensure changes and updates are comprehensive and maintain the integrity of accounting system						
Apply changes						
Circulate changed and/or updated relevant documentation						
Candidate signature:			Date:			
Assessor signature:			Date:			

